COMPLIANCE REFERENCE DOCUMENT

Trading Sector — Clothing & Footwear

Sector: Trading Sector

Industry: Clothing & Footwear

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SECTION 1 — COMMON COMPLIANCE (ALL SECTORS & INDUSTRIES)

1. GST Registration

GST Act • Registration • One Time • CRITICAL

Register under GST if turnover exceeds threshold (₹40L goods / ₹20L services)

PENALTIES: Failure to register under GST | Fine: ₹10,000 or 10% of tax due, whichever is higher

2. GSTR-1 Filing (Outward Supplies)

GST Act • Filing • Monthly • HIGH

File monthly/quarterly return of outward supplies by 11th of next month

PENALTIES: Late filing of GSTR-1 | Fine: ₹50/day (₹25 for NIL return), max ₹10,000

3. GSTR-3B Summary Return

GST Act • Filing • Monthly • HIGH

File monthly summary return by 20th of next month

PENALTIES: Late filing of GSTR-3B | Fine: ₹50/day (₹25 for NIL return), max ₹10,000

4. GST Annual Return (GSTR-9)

GST Act • Filing • Yearly • MEDIUM

File annual return by 31st December of following FY

PENALTIES: Late filing of annual return | Fine: ₹100/day, max 0.25% of turnover

5. E-Way Bill Compliance

GST Act • Other • Event Based • MEDIUM

Generate E-Way bill for goods movement exceeding ₹50,000

PENALTIES: Movement of goods without E-Way bill | Fine: ₹10,000 or 200% of tax payable

6. Income Tax Return (ITR-6)

Income Tax Act • Filing • Yearly • HIGH

File corporate ITR by 31st October of AY

PENALTIES: Late filing of ITR | Fine: ₹5,000 (₹1,000 if income < ₹5L) | Jail: Prosecution for non-filing (Sec 276CC)

7. Advance Tax Payment

Income Tax Act • Payment • Quarterly • HIGH

Pay advance tax: 15% by Jun, 45% by Sep, 75% by Dec, 100% by Mar

PENALTIES: Non-payment or short payment of advance tax | Fine: 1% simple interest per month on unpaid amount

8. TDS on Salary (Sec 192)

Income Tax Act • Payment • Monthly • HIGH

Deduct TDS on salary and deposit by 7th of next month

PENALTIES: Late deposit of TDS | Fine: 1% interest per month on amount deducted | Jail: Prosecution possible (Sec 276B)

9. TDS on Contractor (Sec 194C)

Income Tax Act • Payment • Monthly • MEDIUM

Deduct TDS on contractor payments and deposit monthly

PENALTIES: Non-deduction or late deposit of TDS | Fine: 1% interest per month + penalty equal to TDS amount | Jail: Prosecution possible (Sec 276B)

10. TDS on Professional Fees (Sec 194J)

Income Tax Act • Payment • Monthly • MEDIUM

Deduct TDS on professional/technical fees

PENALTIES: Non-deduction or late deposit of TDS | Fine: 1% interest per month + penalty equal to TDS amount | Jail: Prosecution possible (Sec 276B)

11. TDS Quarterly Return (Form 24Q/26Q)

Income Tax Act • Filing • Quarterly • HIGH

File TDS returns quarterly by 31st of following month

PENALTIES: Late filing of TDS return | Fine: ¹200/day, max ¹30,000

12. EPF Registration

PF Act • Registration • One Time • HIGH

Register for EPF if 20+ employees

PENALTIES: Failure to register for EPF | Fine: Up to ¹5,000 | Jail: Imprisonment up to 3 years (Sec 14)

13. EPF Monthly Contribution

PF Act • Payment • Monthly • HIGH

Deposit 12% employer + employee contribution by 15th of next month

PENALTIES: Late deposit of EPF contribution | Fine: Up to ¹5,000 or imprisonment up to 3 years | Jail: Up to 3 years (Sec 14)

14. EPF Annual Return (Form 5A)

PF Act • Filing • Yearly • MEDIUM

File annual EPF return by 30th November

PENALTIES: Failure to file EPF annual return | Fine: Up to ¹5,000 | Jail: Imprisonment up to 1 year (Sec 14)

15. ESI Registration

ESI Act • Registration • One Time • HIGH

Register for ESI if 10+ employees with wages < ¹21,000/month

PENALTIES: Failure to register under ESI | Fine: Up to ¹5,000 | Jail: Imprisonment up to 2 years (Sec 85)

16. ESI Monthly Contribution

ESI Act • Payment • Monthly • HIGH

Deposit 3.25% employer + 0.75% employee contribution by 15th of next month

PENALTIES: Late deposit of ESI contribution | Fine: Simple interest at 12% per annum | Jail: Imprisonment up to 2 years (Sec 85)

17. Professional Tax

Professional Tax • Payment • Monthly • MEDIUM

Deduct and pay professional tax as per state slab

PENALTIES: Failure to deduct/pay professional tax | Fine: ¹1,000 to ¹5,000 + interest 1.25% per month

18. Shop & Establishment License

Shop & Establishment Act • Licence • Yearly • HIGH

Obtain/renew shop license under state Shops & Establishments Act

PENALTIES: Operating without valid shop license | Fine: ¹250 to ¹5,000 per day of violation

19. Annual Return (MGT-7)

Companies Act • Filing • Yearly • HIGH

File annual return within 60 days of AGM

PENALTIES: Late filing of annual return | Fine: ¹100/day, min ¹5,000, max ¹5,00,000

20. Financial Statements (AOC-4)

Companies Act • Filing • Yearly • HIGH

File financial statements within 30 days of AGM

PENALTIES: Late filing of financial statements | Fine: ¹100/day, min ¹10,000, max ¹10,00,000

21. Board Meetings (Min 4/year)

Companies Act • Other • Quarterly • MEDIUM

Hold minimum 4 board meetings per year (gap <120 days)

PENALTIES: Non-holding of minimum board meetings | Fine: ¹25,000 on company + ¹5,000 per director per default

22. POSH Compliance

Labour Laws • Registration • Yearly • HIGH

Constitute Internal Complaints Committee under Sexual Harassment Act

PENALTIES: Failure to constitute ICC or comply with POSH Act | Fine: ¹50,000 (first offence), ¹1,00,000 (subsequent)

23. Payment of Bonus

Labour Laws • Payment • Yearly • MEDIUM

Pay bonus between 8.33% to 20% of wages

PENALTIES: Non-payment or short payment of bonus | Fine: Up to ¹1,000 or imprisonment up to 6 months | Jail: Up to 6 months (Sec 28)

24. Gratuity Compliance

Labour Laws • Other • Event Based • MEDIUM

Pay gratuity after 5 years continuous service (Payment of Gratuity Act)

PENALTIES: Non-payment of gratuity | Fine: ¹20,000 to ¹50,000 | Jail: Imprisonment up to 2 years (Sec 9)

25. Pollution Board Consent (CTE/CTO)

Environment Act • Licence • Yearly • HIGH

Obtain Consent to Establish and Operate from SPCB

PENALTIES: Operating without consent from Pollution Board | Fine: ¹1,00,000 to ¹5,00,000 per day of violation | Jail: Imprisonment up to 5 years (Sec 26)

SECTION 2 — TRADING SECTOR SECTOR COMPLIANCE

26. Municipal Trade License

Shop & Establishment Act • Licence • Yearly • HIGH

Obtain/renew municipal trade license

PENALTIES: Operating without trade license | Fine: ¹1,000 to ¹10,000 per month

27. Fire Safety NOC

Other • Licence • Yearly • HIGH

Obtain fire safety NOC from fire department

PENALTIES: Operating without fire NOC | Fine: ¹10,000 to ¹1,00,000

SECTION 3 — CLOTHING & FOOTWEAR INDUSTRY COMPLIANCE

28. FSSAI (if selling food items)

Other • Licence • Yearly • LOW

Obtain FSSAI if selling packaged food alongside clothing

PENALTIES: Selling food without FSSAI | Fine: ¹5,000 to ¹50,000

29. BIS for Textile Products

Other • Other • Yearly • LOW

Comply with BIS standards for textile products if applicable

PENALTIES: Non-compliance with BIS textile standards | Fine: ¹50,000 to ¹2,00,000

PENALTY SUMMARY

#	COMPLIANCE ITEM	PENALTY	FINE
1	GST Registration	Failure to register under GST	¹10,000 or 10% of tax due, whichever is higher
2	GSTR-1 Filing (Outward Supplies)	Late filing of GSTR-1	¹50/day (¹25 for NIL return), max ¹10,000
3	GSTR-3B Summary Return	Late filing of GSTR-3B	¹50/day (¹25 for NIL return), max ¹10,000
4	GST Annual Return (GSTR-9)	Late filing of annual return	¹100/day, max 0.25% of turnover
5	E-Way Bill Compliance	Movement of goods without E-Way bill	¹10,000 or 200% of tax payable
6	Income Tax Return (ITR-6)	Late filing of ITR	¹5,000 (¹1,000 if income < ¹5L)
7	Advance Tax Payment	Non-payment or short payment of advance tax	1% simple interest per month on unpaid amount
8	TDS on Salary (Sec 192)	Late deposit of TDS	1% interest per month on amount deducted
9	TDS on Contractor (Sec 194C)	Non-deduction or late deposit of TDS	1% interest per month + penalty equal to TDS amount
10	TDS on Professional Fees (Sec 194J)	Non-deduction or late deposit of TDS	1% interest per month + penalty equal to TDS amount
11	TDS Quarterly Return (Form 24Q/26Q)	Late filing of TDS return	¹200/day, max ¹30,000
12	EPF Registration	Failure to register for EPF	Up to ¹5,000

13	EPF Monthly Contribution	Late deposit of EPF contribution	Up to ¹5,000 or imprisonment up to 3 years
14	EPF Annual Return (Form 5A)	Failure to file EPF annual return	Up to ¹5,000
15	ESI Registration	Failure to register under ESI	Up to ¹5,000
16	ESI Monthly Contribution	Late deposit of ESI contribution	Simple interest at 12% per annum
17	Professional Tax	Failure to deduct/pay professional tax	¹1,000 to ¹5,000 + interest 1.25% per month
18	Shop & Establishment License	Operating without valid shop license	¹250 to ¹5,000 per day of violation
19	Annual Return (MGT-7)	Late filing of annual return	¹100/day, min ¹5,000, max ¹5,00,000
20	Financial Statements (AOC-4)	Late filing of financial statements	¹100/day, min ¹10,000, max ¹10,00,000
21	Board Meetings (Min 4/year)	Non-holding of minimum board meetings	¹25,000 on company + ¹5,000 per director per default
22	POSH Compliance	Failure to constitute ICC or comply with POSH Act	¹50,000 (first offence), ¹1,00,000 (subsequent)
23	Payment of Bonus	Non-payment or short payment of bonus	Up to ¹1,000 or imprisonment up to 6 months
24	Gratuity Compliance	Non-payment of gratuity	¹20,000 to ¹50,000
25	Pollution Board Consent (CTE/CTO)	Operating without consent from Pollution Board	¹1,00,000 to ¹5,00,000 per day of violation
26	Municipal Trade License	Operating without trade license	¹1,000 to ¹10,000 per month
27	Fire Safety NOC	Operating without fire NOC	¹10,000 to ¹1,00,000
28	FSSAI (if selling food items)	Selling food without FSSAI	¹5,000 to ¹50,000
29	BIS for Textile Products	Non-compliance with BIS textile standards	¹50,000 to ¹2,00,000

DUE DATE CALENDAR GUIDE

FREQUENCY		
Monthly	By 15th of every month	GSTR-3B, PF Payment, ESI Payment
Quarterly	By 15th of month following quarter end	GSTR-1 (QRMP), PF Return
Half-Yearly	Within 6 months of period end	POSH Annual Report
Yearly	Within 3 months of FY end (by June 30)	IT Return, Annual Return, Audit
One-Time	Within 1 year of applicability	GST Registration, PF Registration
Event-Based	As per event timeline	GST Revocation, Change in Details